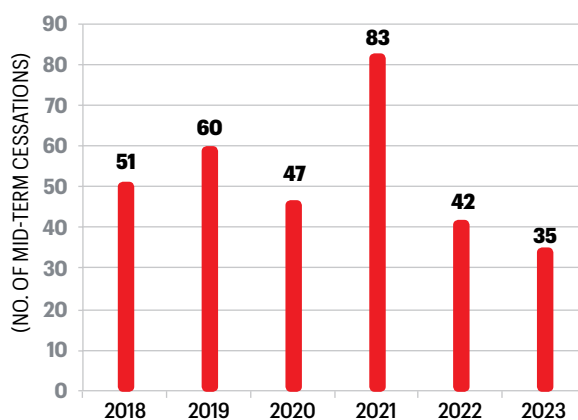
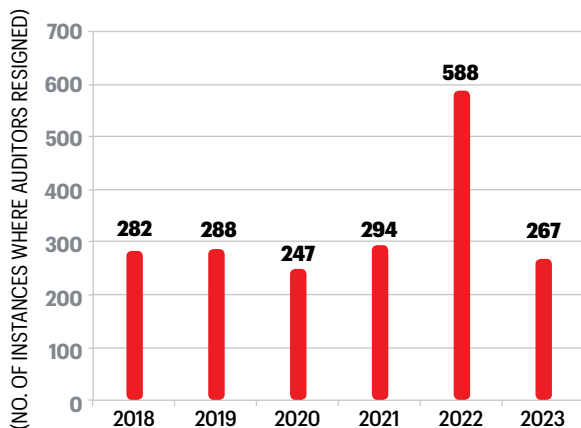


CESSATION OF AUDITORS

▶ Since January 1, 2018, nearly 2,000 auditors have resigned from listed companies with a market cap of over ₹1,000 crore

▶ Auditors can resign for various reasons, like meeting statutory regulations, expiry of term, health or personal reasons, or disqualifications



NOTE: DATA FROM JANUARY 1, 2018, TO OCTOBER 10, 2023, FOR NSE-LISTED COMPANIES

SOURCE: PRIMEINFOTRACK.COM

under the Companies Act and markets regulator the Securities and Exchange Board of India's (Sebi) Listing Obligations and Disclosure Requirements (LODR) for ensuring the integrity of financial reporting and preventing frauds.

"That is why the law mandates a coordinated approach communication between auditors and TCWG to ensure that financial statements present a true and fair view of the firm and are free from material misstatements whether due to fraud or error," he says. While NFRA looks into the role of the auditor, Sebi and the Registrar of Companies are tasked with looking into omissions and commissions by the TCWG and others in the companies with respect to frauds or misstatements, Pandey says.

There is general consensus between auditors and investors that the buck cannot stop with the auditor and the onus also lies with the board and independent directors.

Yogesh Sharma, Deputy Managing Partner at consultancy BDO

India, notes that the law has given significant powers to auditors.

"They don't always have to resign. They can take up the issue with the board or stakeholders and if that is not sufficient, they can highlight the issues in the audit report. Overall, auditors have also become more careful in onboarding clients and there is no longer a rush to get as many clients as possible," he says.

Srinivasa Rao, Leader and Partner-Risk Advisory Services at CA firm Nangia & Co LLP, agrees that the auditor has various options such as issuing a modified audit opinion that clearly states the nature and extent of the disagreement and its impact on the financial statements. Alternatively, they can communicate the disagreement and its implications to the audit committee, board, shareholders as well as to relevant regulators and authorities or recommend corrective actions to the management and the audit committee.

INDIA INC.'S FINANCIAL WOES

What has made it tougher to prevent frauds, despite the plethora of measures taken by the government and regulators as well as extensive due diligence by auditors, are the problems within the companies they oversee.

"Intentionally designed fraud by people in control of the company is very difficult to detect because that's how it has been designed. But that doesn't take away the responsibility of the statutory auditor, even though they are not forensic auditors. But there is higher expectation from auditors now," says Sharma of BDO India.

In fact, of late financial problems have come to the fore in India Inc. amidst a trend of chasing high growth at all costs, somewhat accelerated by the rise of start-ups. In the past two years, a number of start-ups like BharatPe, Zilingo, Trel, GoMechanic and Mojocare have been accused of fraudulent practices and poor governance